

THE BUZZ

HINDENBURG 2.0

A QUESTION OF ANSWERS

US-based short-seller Hindenburg has targeted the Sebi chief in a new report citing her alleged links with the Adani Group, which she has strongly refuted

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IN JANUARY 2023, US-based short-seller Hindenburg Research came out with a report accusing the Adani Group of indulging in billions of dollars' worth of undisclosed related party transactions, investment and stock manipulation. Now, the controversy has reached the doorstep of India's capital markets regulator, the Securities and Exchange Board of India (Sebi).

Hindenburg has launched a direct attack on Sebi Chairperson Madhabi Puri Buch and the regulatory body, alleging that Sebi has shown a lack of interest in probing the Adani Group's alleged undisclosed network of shell entities. Sebi, Buch, and the Adani Group have all refuted the latest allegations.

In its latest report, Hindenburg has connected the alleged links of the Sebi chief's family with the Adani Group as reason for the delay in the investigation. "We suspect Sebi's unwillingness to



ALL DISCLOSURES AND RECUSALS HAVE BEEN DILIGENTLY FOLLOWED, INCLUDING ALL SECURITIES HELD OR TRANSFERRED

MADHABI PURI BUCH,
Sebi Chairperson, on the
allegations made against her
family by Hindenburg



UNSURPRISING THAT SEBI WAS RELUCTANT TO FOLLOW A TRAIL THAT MAY HAVE LED TO ITS OWN CHAIRPERSON

HINDENBURG RESEARCH,
in its latest report on
the Adani saga

take meaningful action against suspect offshore shareholders in the Adani Group may stem from [the] Chairperson's complicity in using the exact same funds used by Vinod Adani, brother of Gautam Adani," the US-based short-seller states. "To date, Sebi has taken no action against other suspected Adani shareholders operated by IIFL: EM Resurgent Fund and Emerging India Focus Funds," it adds.

It alleges Buch and her husband, Dhaval Buch, had stakes in the same offshore funds—Global Dynamic Opportunities Fund (GDOF) and IPE Plus Fund 1—found in the same complex nested structure used by Vinod Adani.

Sebi's probes focussed on three areas: alleged violations of minimum public shareholding norms; disclosure of related party transactions; and share price manipulation. Its probe into public shareholding is dependent on whether 13 overseas entities, which hold stakes in Adani Group companies, are compliant with Sebi